Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$79.67 ▲ 1.63%	12M Price Target	52-Week Range	Market Cap
		$92.00	$63.52 – $139.75	$71.74B

HOOD: Prediction Markets Shine, But DKNG Warning Spooks Group

WHAT HAPPENED

- HOOD got crushed yesterday (-9% from Tuesday's $87 high to $78) and is only limping back today (+1.6%). The trigger looks like DraftKings tanking 27% after guiding down on prediction markets spending — and since HOOD just told everyone prediction markets made them $173M last quarter (more than crypto!), investors panicked that the whole category is cooling.
- The bullish tell: options flow is loaded with near-term call buying at $78-82 strikes (some 10x normal open interest). Someone with real money is betting this dip gets bought before November expiry.

WHY IT MATTERS

Here's what the market is really wrestling with: HOOD successfully pivoted from "meme stock casino" to "diversified fintech," but the newest growth engine (prediction markets / event contracts) is the exact product under the most regulatory scrutiny. DraftKings' warning isn't a HOOD problem specifically — it's a signal that the easy money phase of prediction markets (election season frenzy) is normalizing, and Wall Street is re-rating the entire category. The stock sitting at 21% of its 52-week range despite beating on prediction markets tells you sentiment has shifted from "price in the TAM" to "show me it's durable." Watch whether HOOD can prove prediction market revenue sticks around post-election cycle — that's the whole ballgame for the next two quarters.

POLICY & POLITICAL WATCH

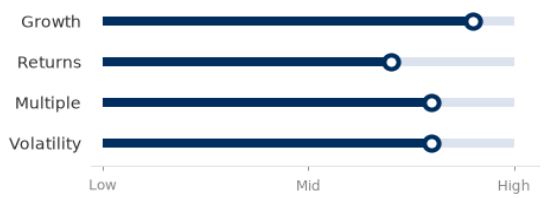
The CFTC (Commodity Futures Trading Commission — the federal agency that regulates derivatives) is the single biggest swing factor here. They've been going back and forth on whether retail event contracts (betting on elections, sports, Fed decisions) are legal derivatives or illegal gambling — and under the current administration they've been relatively permissive, which is exactly why HOOD leaned in. The Stocktwits note about "federal agencies preparing innovation guidelines" is actually a positive tell — sounds like formal rules of the road are coming, which would legitimize the business. But if the pendulum swings and the CFTC restricts event contracts (or states like NY/NJ sue), that $173M/quarter line item evaporates overnight.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$79.67**
12M Price Target	**$92.00**
Upside / (Downside)	**+15.5%**
Market Cap	**$71.74B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,200M**
FY2026E EPS	**$1.95**
FY2027E EPS	**$2.65**
Fwd P/E	**40.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$92.00**	$82.00	**$70.00**
6 Months	**$115.00**	$90.00	**$65.00**
1 Year	**$140.00**	$95.00	**$60.00**
2 Years	**$180.00**	$120.00	**$55.00**
5 Years	**$280.00**	$170.00	**$45.00**
10 Years	**$500.00**	$280.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech bounced +1.8% today but is still down ~8% on the week — this is a reflex rally, not a trend change. Communications services (+5.7% on the week) is the real quiet winner as money hides in large-cap stable growth.

COOLING OFF: Energy (-11.6% week) is getting destroyed on demand worries, and anything consumer-discretionary-adjacent to gambling (DKNG, PENN) is in the penalty box.

ROTATION WATCH: Money is rotating OUT of speculative tech/crypto-adjacent names and INTO quality compounders — HOOD sits awkwardly in the middle. That's why it's bouncing less than the broader tech tape today.

RELATED PLAY: IBKR (Interactive Brokers) is the "safer" version of this trade — same tailwind from retail trading, but with a boring profitable business and no prediction market regulatory overhang. Worth a look if you want fintech exposure without the drama.

WHO'S WINNING IN THIS SPACE?

- IBKR (Interactive Brokers): October trading volumes (DARTs = Daily Average Revenue Trades) rebounded, proving retail is still active — but IBKR's boring institutional base means no prediction market overhang.
- COIN (Coinbase): Zacks notes it's building a "more resilient" business — meaning less dependent on crypto price swings, more subscription/services revenue. Same playbook HOOD is running.

HOOD CONTEXT: HOOD is lagging both peers this week because it's caught in the DKNG downdraft. That's probably an overreaction — HOOD's prediction markets are structured very differently from DKNG's sports betting — but sentiment is sentiment. If HOOD underperforms IBKR for another week, the "diversified fintech" narrative starts to lose credibility.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $70-75 on further pullback

Time Horizon: 12-18 months

Thesis Invalidation: CFTC bans retail event contracts OR monthly active users decline two quarters in a row

Hedging: Small put spread or pair with a more defensive fintech like IBKR

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